

UPI Fraud in India

What is UPI Fraud?

"UPI fraud" is a type of deception in which an attacker tricks the user into making unauthorized transactions or steals their information through social engineering attacks.

Common Types of UPI Fraud:

1. **Collect Request Fraud:** The most common type of UPI fraud. Scammers send a collect money request, which the victim accepts thinking they are receiving money, but in reality, they are sending money.
2. **Vishing (Voice Phishing):** Scammers call victims, claiming to be from the bank, asking for UPI PIN or OTP for KYC or account verification.
3. **Using Fake QR Codes:** Scammers replace the QR code of the merchant with their own QR code, which sends money to the scammer instead of the intended recipient.

Real-Life Example: On OLX, a phone for sale was listed by a seller. The buyer claimed to be an Army officer. He sent a collect money request for 1 Rupee with the message "Accept this to receive payment." The seller, thinking they were receiving money, accepted the request, but in reality, they lost 1 Rupee. This was done multiple times by the scammer before the seller realized what was going on.

Preventive Measures: Don't disclose your PIN to receive money, as your PIN can only be used to send money. Don't accept collect money requests, as genuine buyers don't send collect money requests. Enable transaction limits on your UPI app. Don't disclose your OTP, UPI PIN, or QR code to anyone. Use UPI apps with SIM binding (PhonePe, GPay) for better security. If you fall victim to UPI fraud, immediately call 1930 (India Cyber Crime).

The majority of UPI frauds happen through human trust, not through any kind of hacking.